



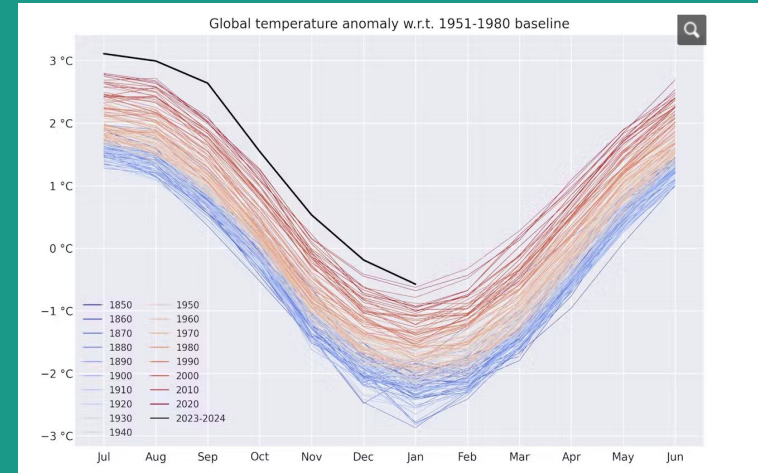
Climate Change & Carbon Pricing

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What is Climate Change?

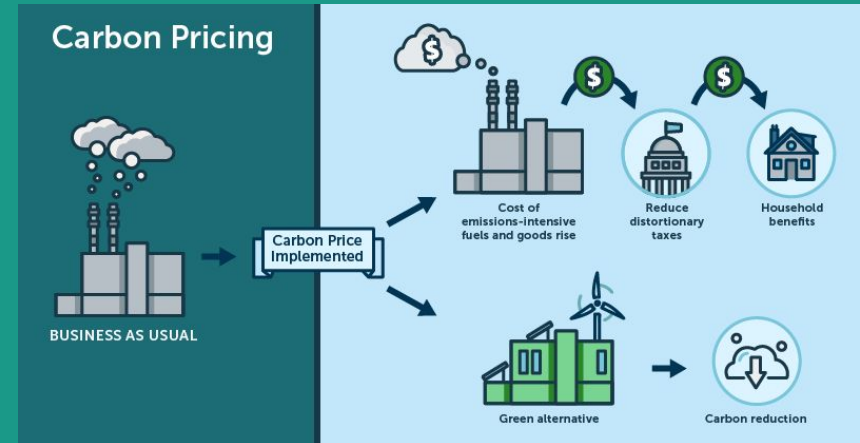
- Long-term shifts in weather patterns
- Driven by human activities, especially burning fossil fuels
- Leads to rising greenhouse gas emissions
- Global temperatures are increasing faster than expected
- Represents a negative externality



(Industrial pollution in Prince George)

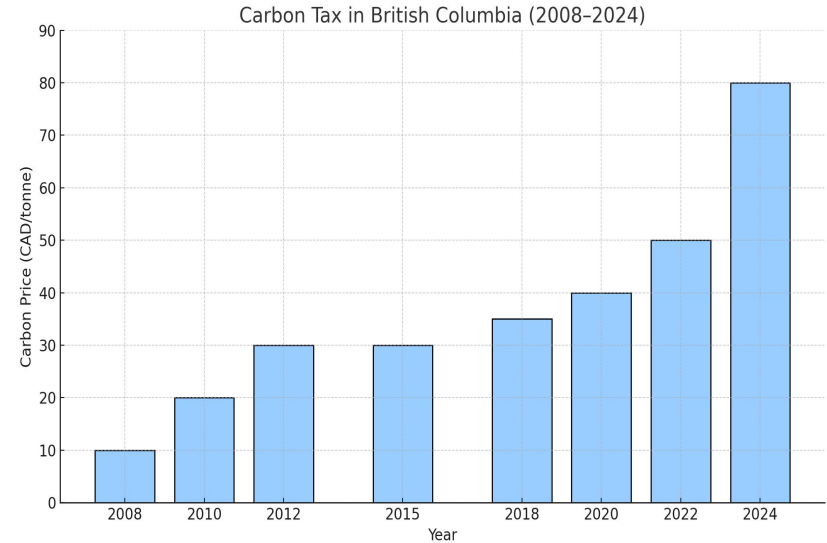
What is Carbon Pricing?

- Market-based approach to lower greenhouse gas emissions
- Makes carbon-intensive goods and services more expensive
- Puts a price on carbon to drive behavior change
- Creates financial incentives for:
 - People to consume more sustainably
 - Businesses to reduce emissions and offer greener alternatives



Types of Carbon Pricing

- Some provinces have their own systems, while others follow the federal backstop.
- Based on the Pigovian tax model
- Introduced federally in 2019
- British Columbia:
 - Started at \$10/tonne in 2008
 - \$80/tonne in 2024
- Federal plan: Increase by \$15/tonne annually, reaching \$170/tonne by 2030
- Cap and trade system



(British Columbia's carbon tax increased from \$10 in 2008 to \$80 in 2024.)

Impact of carbon pricing on businesses

1

Increases production costs, especially for energy-intensive industries. In Canada it effects oil & gas industry heavily

2

Competitive disadvantage compared to a country with no/lower carbon taxes. Could be decreased demand for Canadian goods due to carbon pricing

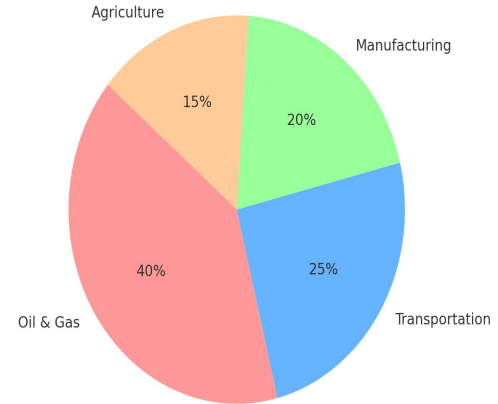
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Some businesses pass customers to consumers, but others invest in green technology

4

Long-term benefits for businesses transitioning to clean energy

Sectors Most Affected by Carbon Pricing



Impact of carbon pricing on households



- 1

Increases fuel, heating, goods and services costs.
- 2

Urban households benefit more due to public transport compared to rural households.
- 3

Federal rebates help offset costs, especially for low and middle income households.
- 4

Long-term savings through energy efficient behaviour and technologies. For example: efficient furnace in homes.

Income Group:	Average Annual Carbon Cost:	Rebate Received	Net Impact
Low Income	\$300	\$400	+\$100
Middle income	\$500	\$500	\$0
High income	\$800	\$300	-\$500

Regional differences

Rural

- Higher energy needs
- Fewer public transit options
- Greater financial burden

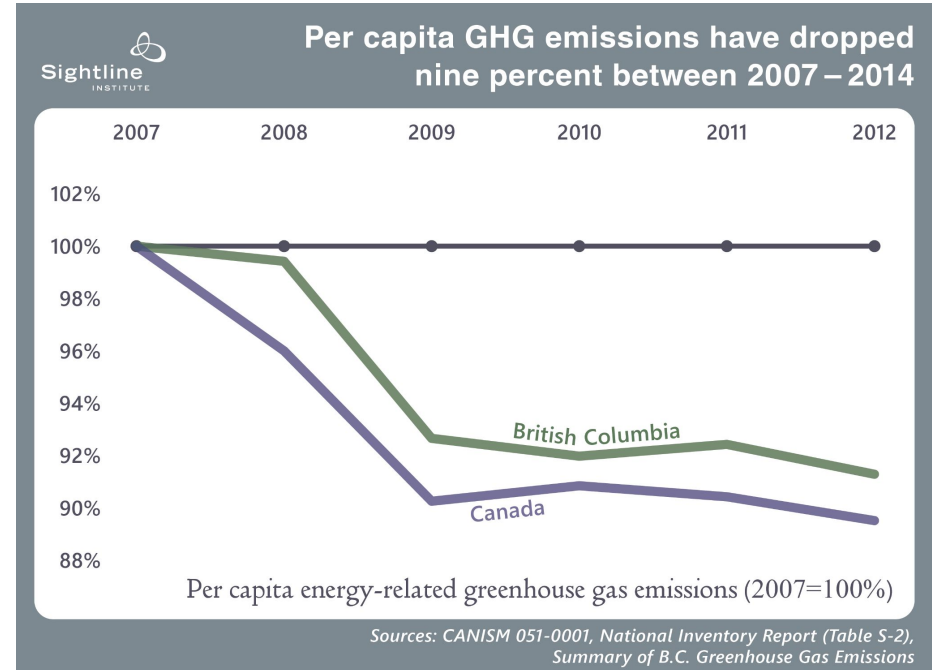
Urban

- Better access to low emission alternatives
- Easier adoption of energy efficient habits



Success of carbon tax in BC

- Reduced per capita fossil fuels use significantly
- No negative impact on economic growth
- 5 years after the tax was introduced, fuel use had reduced by 16%
- Carbon tax was controversial at first, especially in rural BC, but now seen as a success.

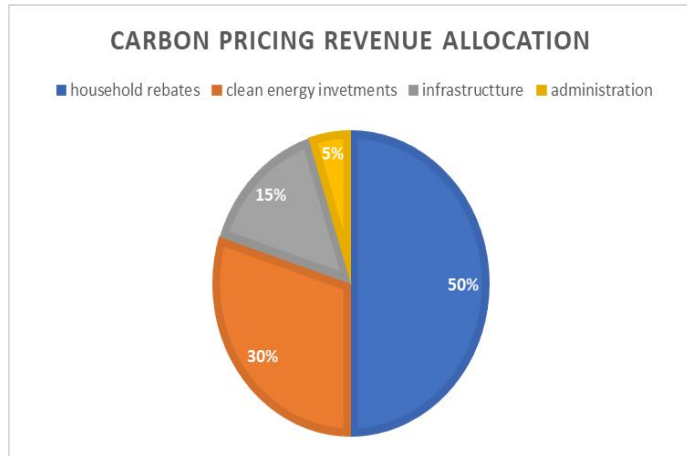


Challenges of carbon pricing

- Higher operational costs for business; potential carbon leakage
- Price increases for essential goods
- Regional inequality in costs and benefits
- Public resistance due to perceived financial burden
- Elastic goods (luxuries) see bigger drops in demand than inelastic goods (essentials).



Government Response



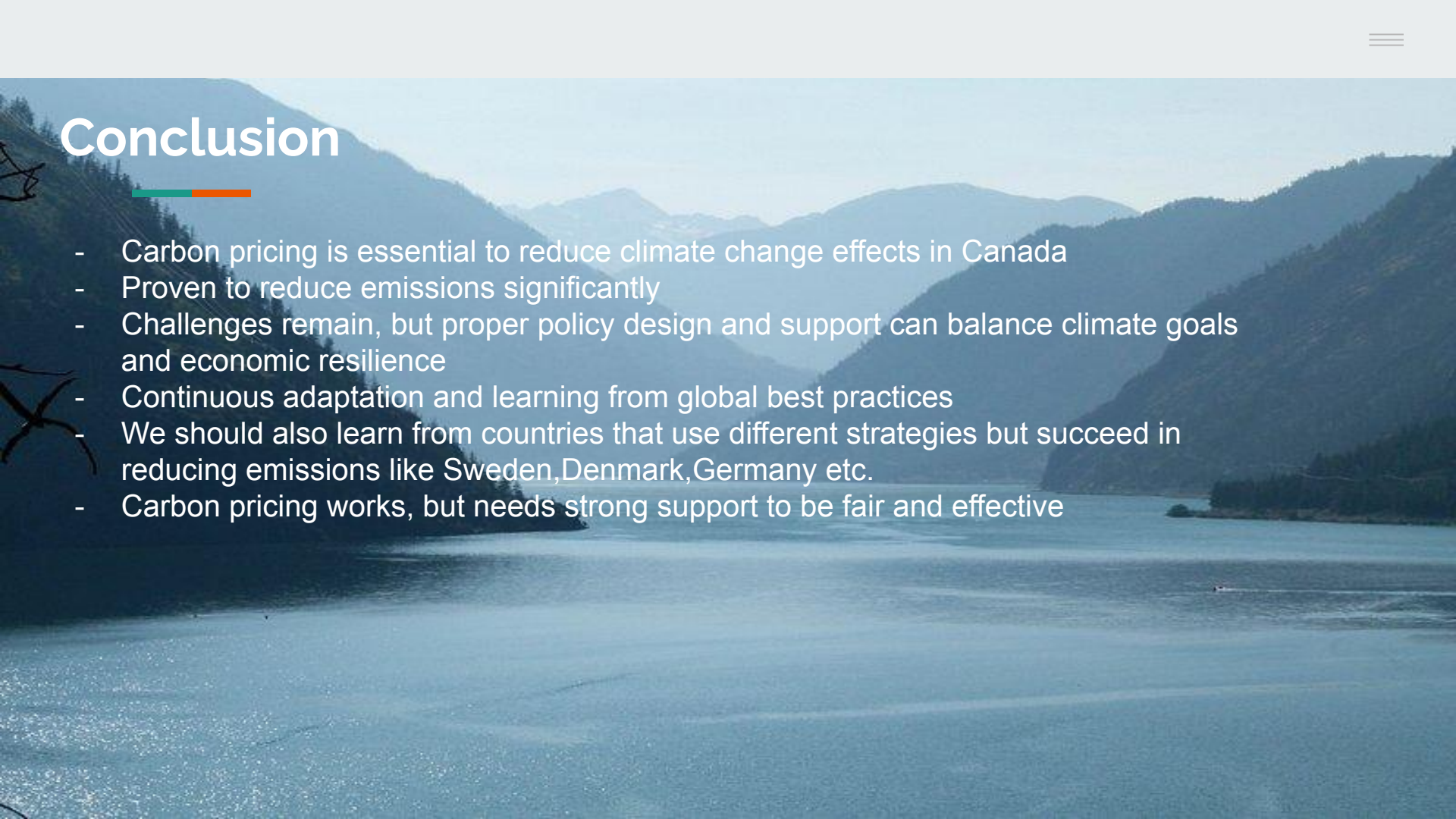
(Revenue allocation: 50% to households, 30% to clean energy, 15% to infrastructure, 5% admin.)

- Rebates; climate action incentive payment (approximately 90% is returned to citizens and 10% goes to farmers, small and medium enterprises, and indigenous government)
- Investments; support clean energy, green technology, and infrastructure
- Support; consideration for low-income and rural households
- Policies; ongoing evaluations and rate adjustments to reflect economic changes

Policy Recommendations

- Increase rebates for rural and low-income households
- Expand subsidies for businesses and individuals adopting green technology
- Prevent carbon leakage through trade policies and border carbon adjustments
- Regular policy review to align with inflation and economic shifts
- The government should Increase transparency and public awareness by releasing the annual reports on how carbon tax revenue is used



The background of the slide is a scenic photograph of a large, calm lake, possibly a fjord, surrounded by steep, forested mountains. The water is a deep blue, and the mountains are covered in green trees. In the distance, more mountain ranges are visible under a clear sky. The overall tone is serene and natural.

Conclusion

- Carbon pricing is essential to reduce climate change effects in Canada
- Proven to reduce emissions significantly
- Challenges remain, but proper policy design and support can balance climate goals and economic resilience
- Continuous adaptation and learning from global best practices
- We should also learn from countries that use different strategies but succeed in reducing emissions like Sweden, Denmark, Germany etc.
- Carbon pricing works, but needs strong support to be fair and effective



Thank you.

Any questions?

